

SAME HAPPY. NO DAIRY.

A go-to-market recommendation for a dairy-free Blizzard, built on category data and operational reality. Independent case study; product visuals are concept mockups.

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EXECUTIVE SUMMARY

The one-minute **version**

THE QUESTION

Should Dairy Queen add a dairy-free option, and if so, how should it be positioned, priced, and rolled out?

THE RECOMMENDATION

Launch a dairy-free Blizzard as a premium line extension, piloted through opt-in franchisee recruitment in high-demand metros.

THE INSIGHT

The category is real and growing, but DQ is nearly 100% franchised and oat milk carries a cost premium. This is a phased premium launch, not a chain-wide discount.

THE OUTCOME

Enter a growing category early, ride the Blizzard's equity, and prove demand where it already lives before scaling.

THE ASK 6-month pilot, ~30 franchisees, 3 metros. **KPIs** mix $\geq 8\%$, repeat $\geq 30\%$, net-new group visits. **KILL** miss after 6 months.

THE MARKET OPPORTUNITY

A growing category. **A stalling brand.**



\$0.86B

North America non-dairy ice cream, 2025

6.7%

North America CAGR to 2030; global 15.3%

~36%

of Americans have lactose malabsorption

42

net decline in U.S. DQ stores in 2024, to 4,212

Sources: Mordor Intelligence; Grand View Research; Storhaug et al. (2017); QSR Magazine. Full citations in appendix.

MARKET & USER EVIDENCE

Built on market data.

~2x

retail premium plant-based analogs often carry, though narrowing

SOURCE: Choices magazine (AAEA)

7.1%

projected North America foodservice growth for non-dairy ice cream, 2025-2030

SOURCE: Mordor Intelligence

3 of 3

adjacent brands in our price scan price dairy-free at or above dairy

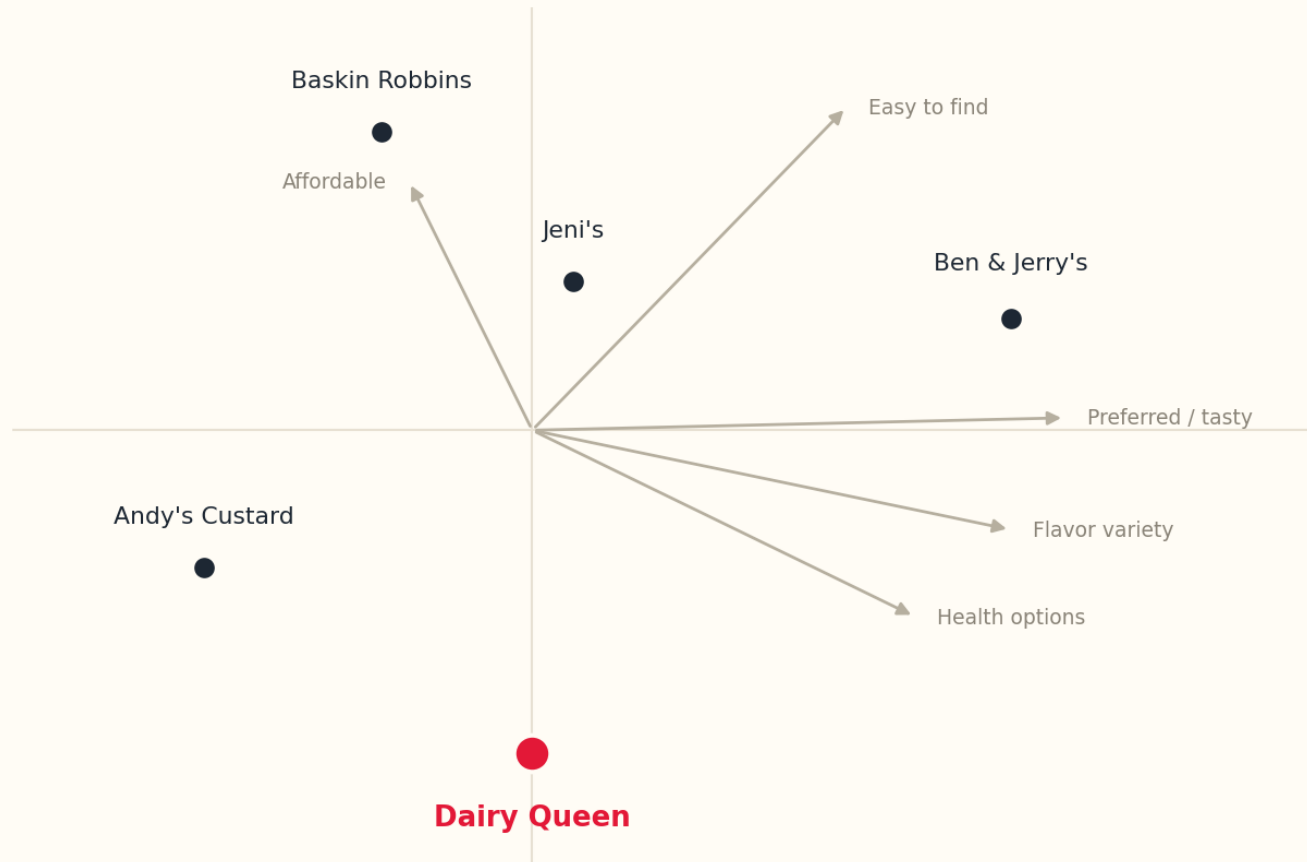
SOURCE: Retail price scan (3 brands)

A NOTE ON THE EVIDENCE

The recommendation rests on cited market data, a three-brand price scan, and our team survey, where ~55% would pay the same or up to \$1 more. The class conjoint and perceptual study (on GitHub) were directional inputs, overridden where they conflicted with cost and franchise reality.

BRAND POSITIONING & PERCEPTION

DQ is under-differentiated.



HOW TO READ THIS

A perceptual map plots how consumers see brands relative to one another. Brands near each other are seen as similar; arrows show which attributes pull perception in each direction.

DQ sits alone in the low-consideration space; taste, variety, and preference belong to rivals. But this is brand perception. The real battle is at the walk-in occasion, next slide.

Source: our graduate class team's perceptual study, n=52, 5 brands across 8 attributes.

COMPETITIVE LANDSCAPE

Who DQ actually competes with.



The perceptual map measures brand perception against grocery and scoop-shop names. At the walk-in and drive-thru dessert occasion, DQ competes with other QSR chains, and none below offer a dairy-free blended treat today.

QSR DESSERT PLAYER	DAIRY-FREE AT THE COUNTER?
 McDonald's · McFlurry	None
 Wendy's · Frosty	None
 Culver's · Frozen custard	None
 Shake Shack · Custard	Discontinued
 Dairy Queen · Blizzard	Non-Dairy Dilly Bar only

The whitespace isn't in the grocery aisle. It's at the QSR counter, and Shake Shack's pullback says prove demand first.

TARGET PERSONA

Meet Jordan.

Illustrative persona · the group's dessert-decider, post-workout, ordering for four

It's Friday, just after a group workout. Jordan is grabbing dessert for four, and one friend is lactose-intolerant. She has a few minutes and wants a single order that works for everyone, no separate stop, no one sitting it out.

THE OCCASION

WHEN

Post-workout, on the go

WHO

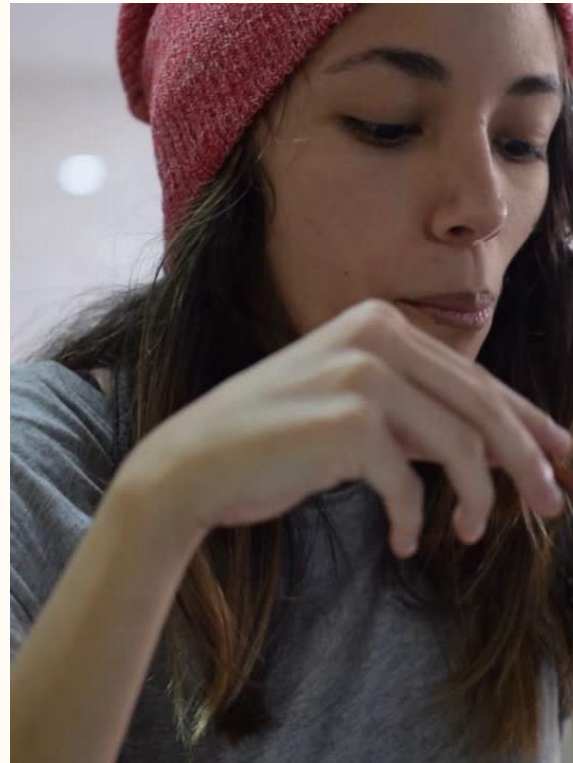
Her plus 3 teammates

THE CATCH

One is lactose-intolerant

THE PRESSURE

One stop, a few minutes



WHAT SHE NEEDS

- One order that works for all four
- No second stop, no one left out
- Great flavor, no compromise
- Fast, from the app or the counter

THE JOB TO BE DONE

“Give me one order that works for all four of us, my dairy-free friend included, without a second stop.”

A VARIANT, NOT A CATEGORY

A Blizzard variant, **not a new category.**

Launch dairy-free as an extension of the Blizzard, DQ's hero product, rather than a standalone line. It rides equity people already trust and an item they already order.

1

Inherits brand equity

No new category to build; the Blizzard name does the trust and awareness work.

2

Lowers the trial barrier

Riding an item people already order beats convincing them to try a new line.

3

Cheaper and simpler

Less awareness spend, less menu complexity, lower operational risk than a category launch.

What we say, and why.

POSITIONING STATEMENT

For dessert lovers who won't leave anyone out, the Dairy-Free Blizzard is the DQ classic the whole table can share, made without dairy, not without the joy.

“Same Happy. No Dairy.”

Subhead: *The Blizzard you love, now dairy-free, so the whole table's in.* Alt lines: *“The Blizzard everyone can share.” · “No dairy. No compromise.”*



PROOF 1

Taste, no compromise

Real Blizzard-thick, oat-milk smooth. The texture people expect from DQ.



PROOF 2

Made for the group

The lactose-intolerant friend finally orders too. One stop, no one left out.



PROOF 3

Same crave, same DQ

Same cup, same spoon-stands-up test, same brand people already trust.

CTA Order dairy-free in the DQ app. Tag who you'd share it with.

INCREMENTAL DEMAND

This may bring the whole table.

HYPOTHESIS The opportunity is larger than dairy-avoiders alone. A dairy-free option may unlock group visits DQ loses today when one member can't eat dairy.

TODAY



One friend is lactose-intolerant.

The group picks somewhere else. **DQ: 0 orders.**

WITH DAIRY-FREE



Everyone can order.

The group comes to DQ. **4 orders, plus food.**

How we'll test it: compare party-size orders at pilot stores vs. matched control stores. North Star: % of orders with 3+ items that include a dairy-free Blizzard. Read at 3 and 6 months.

PRICING & MONETIZATION

Price up, not down.



Cost floor

Oat milk costs more and DQ has no supply at scale. A short-term premium contract de-risks the pilot but raises unit cost.

Demand ceiling

Our team survey: ~55% would pay the same or up to \$1 more. Plant-based analogs often carry retail premiums, and every brand in our three-brand scan prices dairy-free at or above dairy.

The call

Price about \$1 above the classic (~\$6.29 vs ~\$5.29 medium; franchisee pricing varies), then test \$0.50 to \$1.50.

The team conjoint's best-scoring price was \$4.99. It ignored cost and franchise fees, so I set a premium and made price the first test.

UNIT ECONOMICS & MARGINS

Does it make money?

Menu price (medium, premium)	\$6.29
Cost of goods + ~9% royalty and ad fund	(\$2.47)
Oat-milk supplier premium	(\$0.40)
Contribution per Blizzard	\$3.42 (~54%)

Illustrative. A switcher from a ~\$5.29 classic adds only ~\$0.51; a net-new buyer adds the full \$3.42.

MONTHLY CONTRIBUTION / STORE, IF ALL NET-NEW

	oat COGS →		
mix ↓	\$0.30	\$0.40	\$0.60
3%	\$381	\$370	\$348
8%	\$1,015	\$986	\$928
12%	\$1,522	\$1,479	\$1,393

Assumes ~120 Blizzards/store/day (~20% of a \$1.165M U.S. AUV). Fees: 4% royalty + ~5% ad fund. Base case (\$0.40, 8%) in green.

You can't mandate 4,200 stores. **So don't.**

THE CONSTRAINT Dairy Queen is nearly 100% franchised; only two U.S. Grill & Chill stores are company-owned (QSR Magazine). Corporate cannot force a new SKU; franchisees choose, based on equipment, training, and margin.

1 · Recruit, don't mandate

- Opt-in adoption, not a mandate
- Corporate 50/50 equipment co-op
- DQ funds the local launch push

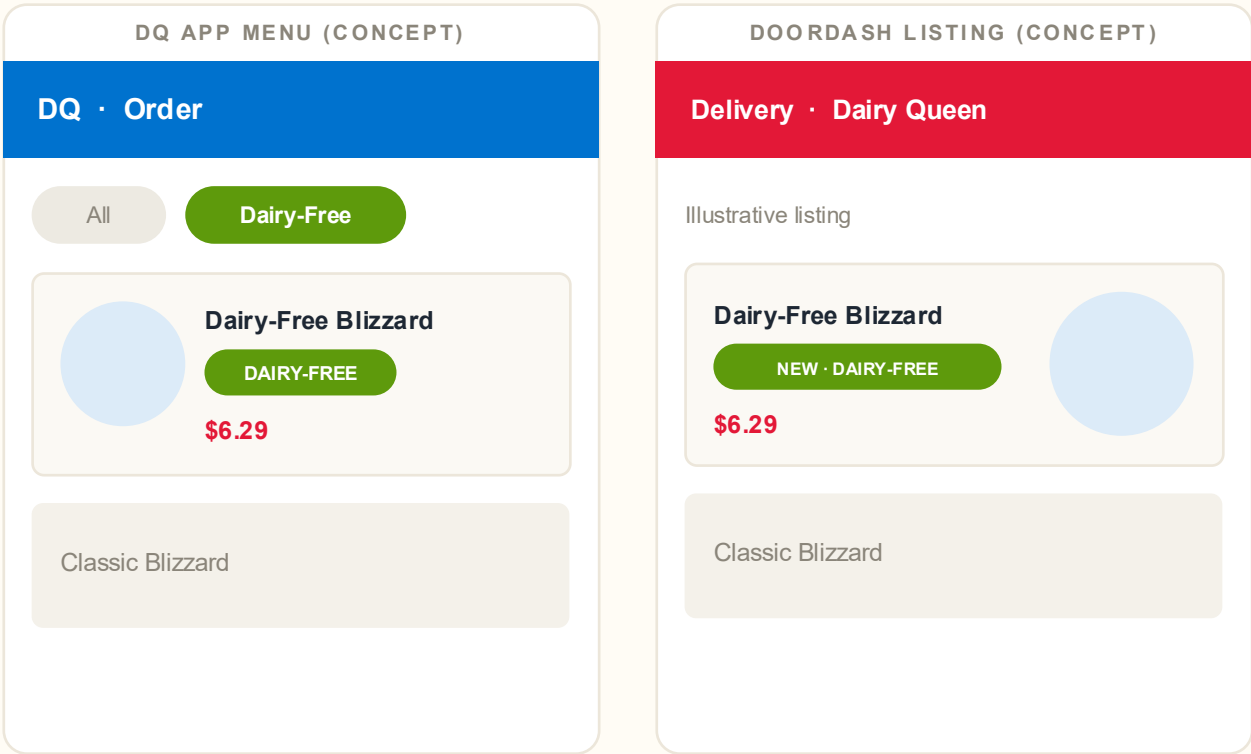
2 · Pilot in demand metros

- Candidates: Chicago, Atlanta, Phoenix
- Dense DQ footprint; validate plant-based demand

3 · Prove, then expand

- Win where demand already exists
- Expand metro by metro as mix and repeat hold

Meet the buyer in the order flow.



A dairy-free Blizzard has to be findable at the moment of ordering, not just on the menu board. Discovery happens in the app and on delivery, so the variant has to surface where the buyer already is.

WHERE DISCOVERY HAPPENS

-  **Dairy-free filter**
Findable in one tap, app and delivery
-  **Badge on the Blizzard**
A callout at the point of choice
-  **Delivery listings**
DoorDash and Uber Eats, not just in-store

STRATEGIC ASSUMPTIONS & ADJUSTMENTS

What I changed, and why.

The model here is our team conjoint. It gave directional signal on demand, but not on the oat-milk cost floor, franchise fees, or the competitive map. I pressure-tested the recommendation against those and revised it.

	TEAM STUDY SAID	REVISED, AFTER MARKET REALITY
Price	\$4.99 entry price	→ ~\$6.29 premium, set by cost floor and fees
Market size	\$2.65B global category (2030 projection)	→ \$0.86B North America, 2025
Rollout	Sell across 4,200+ walk-in stores	→ Opt-in franchise pilot in demand metros
Evidence	Small-sample conjoint utilities	→ Cited market data + operational reality

SUCCESS METRICS & KPIS

How I'd measure it.



1	ADOPTION	Franchisee opt-in rate across pilot metros
2	DAIRY-FREE MIX	Share of Blizzard orders that are dairy-free
3	REPEAT	Repeat-purchase rate among triers
4	INCREMENTALITY	Net-new group visits, not switched Blizzards
5	SHARE	Category share in pilot metros vs. QSR rivals

North Star: % of orders with 3+ items that include a dairy-free Blizzard.

WHY THIS MIGHT FAIL

Why this **might** fail.



1 Franchisees don't adopt

→ 50/50 equipment co-op and obvious unit economics

2 Oat-milk supply and cost

→ Primary contract plus a pre-vetted second supplier

3 Allergen cross-contact

→ Dedicated blender shaft; label "made with dairy-free ingredients," not allergen-free

4 Demand fades after launch

→ Shake Shack dropped non-dairy custard; set kill criteria up front

5 Cannibalizes the classic

→ Premium price, so switchers still add margin; test net-new visits

What I'm asking for.

THE DECISION Approve a 6-month pilot of a premium dairy-free Blizzard: ~30 franchisees across 3 candidate metros (e.g., Chicago, Atlanta, Phoenix).

SCALE IF

- Dairy-free mix at least 8% of Blizzard orders
- Repeat rate at least 30% among triers
- Net-new group visits, not switched Blizzards

KILL IF

- Mix and repeat miss after 6 months
- No measurable incremental traffic

INVESTMENT

- 50/50 equipment co-op with franchisees
- Oat-milk supplier contract, dual-sourced
- Funded local demand, app, and onboarding

LIMITATIONS & NEXT STEPS

What I'd **validate** first.

WHAT I DON'T HAVE

Real franchisee P&Ls, DQ's actual oat-milk COGS, and store-level Blizzard volumes. The unit economics are illustrative until validated against DQ actuals.

THE FIRST TEST I'D RUN

Price elasticity by metro. A/B the dairy-free premium (\$0.50 vs \$1.00 vs \$1.50 over classic) across matched pilot stores.

THE ASSUMPTION TO VALIDATE FIRST

That dairy-free is incremental, net-new group visits, not cannibalized classic Blizzards. The control-store test answers this before any scale decision.

Naming the gaps and the test plan is the point: this is a direction to validate, not a claim of certainty.

THE RECOMMENDATION

**A premium Blizzard variant,
where demand already lives.**

Launch a premium-priced dairy-free Blizzard line extension, piloted through opt-in franchisee recruitment in high-demand metros. Prove the demand that already exists, then expand.

The receipts.



01	Market & category	Mordor Intelligence (North America non-dairy ice cream, 2025-2030); Grand View Research (global dairy-free ice cream).
02	Franchise structure	QSR Magazine (4,212 U.S. stores, net -42 in 2024, \$1.165M AUV, two company-owned Grill & Chill stores); franchise disclosures (4% royalty, ~5% ad fund).
03	Pricing and demand	Team survey (~55% pay the same or up to \$1 more); Choices magazine (AAEA) on plant-based premiums; Storhaug et al. (2017) on lactose malabsorption.
04	Directional research	Conjoint (n=50) and perceptual map (n=52) from our five-person graduate class team study. Small-sample and directional; used as an early input and overridden where it conflicted with cost and franchise reality.

Team research I led the analytics on; full data and analysis: github.com/naveen-raj-kanagaraj/dairy-queen-marketing-analytics